

Categories of land disposals subject to taxation [¶7-010]

[¶7-010]

[Click to open document in a browser](#)

Provision is made within subpt [CB](#) of the IT07 for income to include receipts from the disposal of land in various circumstances. Broadly, there are 10 categories of land disposals that give rise to income. Each category is subject to exclusions that, if applicable, operate to prevent the category-creating income.

The categories of land disposals that give rise to income are the following:

- # for residential land first acquired on or after 1 October 2015 and before 29 March 2018, acquired and disposed of within 2 years ([¶7-050](#))
- # for residential land first acquired on or after 29 March 2018 and before 27 March 2021, acquired and disposed of within 5 years ([¶7-050](#))
- # for residential land first acquired on or after 27 March 2021, acquired and disposed of within 10 years ([¶7-050](#))
- # for residential land disposal occurring on or after 1 July 2024 and within 2 years of the bright-line start date ([¶7-049](#))
- # purpose or intention of sale ([¶7-045](#))
- # a business relating to land that encompasses dealing, developing or erecting buildings ([¶7-055](#), [¶7-057](#), [¶7-059](#) and [¶7-061](#))
- # dealer's other land ([¶7-065](#))
- # developer's other land ([¶7-085](#))
- # builder's other land ([¶7-095](#))
- # development or division commenced within 10 years ([¶7-115](#))
- # major development or division ([¶7-125](#))
- # rezoning changes ([¶7-135](#)), and
- # landfills ([¶7-165](#)).

Exclusions

These categories of income from the disposal of land are subject to the exclusions set out in ss [CB 15C–CB 23](#). The effect of an exclusion is that an amount that is otherwise income under ss [CB 6A–CB 15](#) ceases to be income under one of those provisions. This statutory approach leaves at large the position under other provisions of the Act. The exclusions encompass the following:

- # main home exclusion for residential land disposed of within 10 years of acquisition (5 years for land acquired before 27 March 2021) ([¶7-220](#))
- # main home exclusion for residential land disposed of on or after 1 July 2024 and within 2 years of acquisition ([¶7-215](#))
- # residential exclusion for taxpayer's own residence ([¶7-211](#))
- # a development or division of land for residential use ([¶7-225](#))
- # rezoning gains if disposal is for residential purposes ([¶7-235](#))
- # business premises ([¶7-250](#))
- # development or division for the business ([¶7-260](#))
- # development or division if disposal is for farming purposes ([¶7-270](#))
- # farming purposes and rezoning gains ([¶7-280](#))
- # development or division of investment land ([¶7-290](#))
- # an exclusion for land acquired from a co-owner on a partition of subdivision ([¶7-300](#))
- # an exclusion for certain council-controlled organisations ([¶7-209](#)), and
- # an exclusion for Kōhanga Ora – Homes and Communities (previously Housing New Zealand Corporation) and companies in the same wholly-owned group ([¶7-210](#)).

Interaction of land disposal provisions with other provisions

The land disposal provisions apply if their requirements are satisfied. They are not subject to an implied limitation that would prevent their application to gains that may otherwise be regarded as of a capital nature. See *Lowe v C of IR* (1981) 5 NZTC 61,006 (CA). The land disposal provisions capture gains of a capital nature, as the category relating to rezoning changes illustrates.

The interaction of the land disposal provisions with other provisions of the Act concerning assessable income may be unclear in some cases. There are no specific provisions that address the topic.

A first proposition is that the land disposal provisions are not an exhaustive code for the taxation of the sale of land. There is no provision that prevents gains derived from the sale of land forming part of assessable income as amounts derived from a business, from a profit-making undertaking or scheme or as income under ordinary concepts.

Example:

A husband and wife and their family company purchased several residential houses with the intention of holding them as long-term investments for the couple's retirement. Financial difficulties compelled the sale of 20 properties over a two-and-a-half-year period. The Commissioner assessed the profits from the sale of 17 of those properties over the 1990–1992 income years. The Commissioner submitted that gains from the sale of the properties were assessable income on any one of the following bases:

- # business profits
- # gains from an undertaking or scheme entered into for the purpose of making a profit, or
- # income derived from any other source whatsoever.

The Taxation Review Authority held that the profits were not assessable income. The sales were not part of any business of buying or selling properties but were to wind down the letting business. The Authority also held that there was no undertaking or scheme involving the purchase and resale of realty for profit. The Authority observed that unless profits from land dealings are clearly derived from land as circulating capital, the profits will almost certainly be capital rather than revenue. See Case S86 (1996) 17 NZTC 7,538.

Significantly, in Case S86, the Authority did not take the approach of holding that the absence of the application of the land disposal provisions necessarily prevented the application of the more general provisions on assessable income. Despite the land disposal provisions not having application, it continued to be necessary to consider whether other provisions of the Act rendered the gains made assessable income.

A second proposition is that it may be appropriate to regard the land disposal provisions as the only provisions of possible application in some situations. For example, the application of the exclusion for the business premises for a dealer or developer may be regarded as ending any enquiry as to whether the disposal results in assessable income. The application of some other provision to yield assessable income would undermine the exclusion.

Similarly, the provisions on major subdivisions prescribe market value as the cost base for calculation of the assessable income. It would undermine the provisions on market value for it to become the case that assessable income should be calculated on the basis of historical cost under the provisions taxing business profits.

For a more detailed commentary on land transactions, see R Thompson and M van den Berg *A Practical Guide to Taxing Property Transactions* (8th ed, CCH, Auckland, August 2022).

Disposal of land at a loss

The land disposal provisions do not address the deduction of a disposal of land at a loss. The land may be regarded as revenue account property because its disposal produces income. A deduction is allowed under s DB 23 (17-360) for the cost of revenue account property despite the capital limitation. Simultaneous recognition of the sale proceeds would effectively confer a deduction for the loss. That is also the position under the general law. See *C of IR v Inglis* (1992) 14 NZTC 9,180 (CA).

For the 10-year bright-line test, a further provision related to deduction for the costs of some residential land held as revenue account property was inserted into the IT07 under former s DB 23C (17-220).

Law: IT07 ss CB 6A–CB 23B, DB 23, former DB 23C

Last reviewed on 31 December 2025

Tax statement required on transfer of land [17-018]

[17-018]

[Click to open document in a browser](#)

All transferors and transferees of real property must provide a tax statement as part of the conveyancing processes under the Land Transfer Act 2017 (LTA).

A tax statement must contain the following:

- # full name, date and signature of the transferor or transferee
- # whether the land has a home on it and, with effect from 1 January 2020, if so, whether it is a main home transfer (see below) for the transferor or transferee
- # whether the person or a member of their immediate family is a New Zealand citizen or visa holder
- # if the person is a transferee and they or their immediate family has a work or student visa, whether they intend living on the land, and
- # either:
 - # the category of exemption that applies (ie if the transfer is a non-notifiable transfer), or
 - # the person's IRD number and, if the person is a tax resident in another jurisdiction at the time of the transfer, the name and country code of that jurisdiction and the equivalent of an IRD number (the "tax identification number" or TIN) from that foreign jurisdiction.

Where a person is acting in another capacity (for example, as trustee of a trust), the tax statement provided must relate to the capacity in which they are acting. Nominees must provide details of the principal.

Note: With effect from 30 March 2021, the requirements for the content of the land transfer tax statement (LTTs) have been moved from the LTA to regulations made under that Act. This will make it easier to amend the LTTs in the future, eg to make changes that would reduce compliance costs for property transfers. However, until the first regulations that prescribe the content for the LTTs come into force, the current requirements in s 79 of the LTA continue to apply.

Non-notifiable transfers

Non-notifiable transfers (where there is no requirement to provide IRD and TIN numbers) may be specified under regulations provided they meet certain criteria.

The Land Transfer (Land Information and Offshore Persons Information) Exemption Regulations 2015 provide that the following transfers of an estate in land are non-notifiable transfers in relation to the transferor:

- # a transfer by a public authority or a local authority
- # a distribution by an executor, administrator or trustee of a deceased's estate to a beneficiary
- # a transfer of mortgaged land by the mortgagee
- # a rating sale under the Local Government (Rating) Act 2002, and
- # a court-ordered transfer.

In addition, transfers of land to public authorities and local authorities are also non-notifiable transfers for the authorities.

The regulations also exempt transfers of Māori Land and transfers as part of the Treaty settlement process from the requirement to complete a tax statement. These exemptions are for practicality reasons.

Main home transfer

From 1 January 2020, if transferred land has a home on it, the tax statement has to state whether the transfer is a "main home transfer" in relation to the transferor or transferee. A "main home transfer" is defined as:

in relation to a transferor, a transfer of land that has a home on it if the transferor:

is a natural person, is not acting in the capacity of the trustee of a trust, and has resided in the home for more than 50% of the period during which the transferor has been an owner of the land, or

is a trustee of a trust a beneficiary of which is a natural person who has resided in the home for more than 50% of the period during which the land has been the property of that trust

in relation to a transferee, a transfer of land that has a home on it if the transferee:

is a natural person, is not acting in the capacity of the trustee of a trust, and intends to reside in the home, or

is a trustee of a trust a beneficiary of which is a natural person who intends to reside in the home.

For these purposes, a “home” is defined as a dwelling mainly used as a residence. Where a dwelling is used as both a residence and for other commercial, investment or farming purposes, it will be necessary to determine if most of the dwelling is used as a residence. When less than 50% is used as a residence, the dwelling will not satisfy the definition of a “home”.

Information disclosure and retention

The information is collected by conveyancers from property vendors and purchasers, and provided to Land Information New Zealand, which in turn provides the information to IR. The onus is on vendors and purchasers to provide accurate information. Conveyancers do not need to certify the accuracy of the information, but they are required to provide it before certifying the property transfer.

Offence to supply misleading or false tax information

A person who knowingly, or with intent to deceive, gives false or misleading tax information, commits an offence. They are liable to a fine not exceeding \$25,000 for a first conviction and \$50,000 for any subsequent convictions. If they provide information they genuinely believe to be true, but that is not in fact correct, they will not be committing an offence.

Requirement for offshore person to hold a bank account before obtaining IRD number

Section [55B](#) provides that the Commissioner must not allocate an IRD number to an “offshore person” who requests one unless the Commissioner first receives a current bank account number for the offshore person or the Commissioner is satisfied the information available provides assurance as to the applicant’s identity and background. The bank account can be with a registered bank or a licensed non-bank deposit taker but must have gone through the appropriate anti-money laundering due diligence checks.

The requirement applies only in instances where a person has applied for an IRD number. This is so that the current practice of the Commissioner allocating IRD numbers as an administrative matter in some cases will continue.

Meaning of “offshore person”

An “offshore person” is:

for an individual:

New Zealand citizen who is outside New Zealand and has not been in New Zealand within the last 3 years

a person who holds a residence class visa granted under the Immigration Act 2009 and who is outside New Zealand and has not been in New Zealand within the last 12 months, or

a person who is not a New Zealand citizen and who does not hold a residence class visa

for a body corporate or an unincorporated body of persons, including a trust or unit trust, a person who would be an overseas person under s [7\(2\)\(b\)](#) to [\(k\)](#) of the Overseas Investment Act 2005, treating references to an overseas person or persons in that section as including a person or persons described above — in general, body corporates incorporated outside New Zealand or non-individuals that are 25% or more owned or controlled by offshore individuals.

Becoming an offshore person

Note that where a non-individual has an existing IRD number and current bank account number and they become an offshore person, they must provide their bank account number to the Commissioner immediately if they have not done so already. This does not apply to individuals, so that a New Zealand citizen who emigrates will not be obliged to provide a bank account number after being away for 3 years.

Exceptions to requirement to provide current bank account

There are 3 exceptions to the requirement for an offshore person to provide a current bank account number or to satisfy the Commissioner as to their identity before being issued an IRD number. These exceptions apply to the following:

- # a person who requires an IRD number only because they are a non-resident supplier of goods and services under the GST Act
- # a person registered or applying to be registered under s [54B](#) of the GST Act ([132-148](#))
- # a person for whom a reporting entity under the Anti-Money Laundering and Countering Financing of Terrorism Act 2009 has conducted the customer due diligence procedures required under that Act.

In addition, a non-resident seasonal worker under the recognised seasonal employer instructions is not required to provide the Commissioner with a current bank account number for the first month of a period of employment in New Zealand.

Law: TAA ss [3\(1\)](#) (“[offshore person](#)”), [55B](#); LT ss 77–[86](#)

Last reviewed on 31 December 2025

Residential land withholding tax [¶7-020]

[¶7-020]

[Click to open document in a browser](#)

The residential land withholding tax (RLWT) applies to the sale of “residential land” in New Zealand by an “offshore RLWT person” and owned for less than 2 years before being sold after 1 July 2024. This withholding tax ensures tax is paid under the bright-line test ([¶7-049](#)) by providing a collection mechanism where the seller is an offshore person. The RLWT rules are set out in subpt [RL](#). Details of the rules are set out below. All examples are taken from *Tax Information Bulletin* [¶286-104 Vol 28, No 6](#), July 2016 at 30–56.

Requirements for RLWT to apply

The RLWT rules came into force on 1 July 2016. Under s [RL 1](#), for RLWT to apply to a particular disposal, there must be:

- # a disposal of residential land located in New Zealand, and
- # the residential land purchase amount would be income of the vendor under the bright-line test, ignoring the application of the other land taxing provisions in ss [CB 6–CB 12](#) and the “main home” exclusion, and
- # the vendor must be an offshore RLWT person.

Note that vendors who are co-owners are treated as disposing of separate residential land on the basis of an appropriate split of the underlying residential land and the consideration for its disposal.

RLWT does not apply when the vendor holds an RLWT certificate of exemption that applies for the disposal of the relevant residential land. See discussion below.

RLWT does not apply to the transfer of residential land as relationship property. Any subsequent disposal of the land may be caught by the RLWT rules.

Residential land in New Zealand

RLWT only applies to residential land located in New Zealand. The meaning of “residential land” is the same as for the bright-line test and is discussed at [¶7-049](#) and [¶7-050](#).

Residential land purchase amount

The “residential land purchase amount” is defined as an amount paid or payable for the disposal of residential land located in New Zealand, but excludes deposits and part-payments as long as all deposits and part-payments total in aggregate less than 50% of the purchase price for the land. This rolling aggregate is to ensure that part-payments are not used to circumvent the application of the RLWT.

Example:

Elizabeth is an offshore RLWT person. Elizabeth agrees to sell her house to Rebecca for \$500,000. The contract requires Rebecca to pay a 10% deposit of \$50,000, with the remaining \$450,000 to be paid upon settlement. The \$50,000 deposit is not a residential land purchase amount, but the \$450,000 paid upon settlement is a residential land purchase amount. RLWT is calculated based on the purchase amount of \$500,000.

Bright-line income

The next requirement is that the residential land purchase amount would be income for the vendor under the bright-line test, ignoring the application of the other land taxing provisions in ss [CB 6–CB 12](#) and the “main home” exclusion.

The bright-line test does not generally apply when one of the other land taxing provisions in ss [CB 6–CB 12](#) applies. However, RLWT does apply when a vendor disposes of the residential land within the 2-year bright-

line period, regardless of whether another land taxing provision applies. This ensures difficulties of collection of tax from foreign investors are somewhat alleviated. In addition, because it is unlikely that the property being sold in New Zealand by an offshore RLWT person would be that person's main home, the main home exclusion is not available for the purposes of the RLWT.

Note that this reference to "income" under the bright-line test means there does not need to be a land title transfer for an RLWT obligation to arise; there only needs to be a residential land purchase amount. This means that off-the-plan sales, for example, are subject to RLWT if the other conditions are also met.

The bright-line test is discussed in detail at [¶7-049](#) and [¶7-050](#). Although the main home exclusion does not apply for RLWT, there is an exemption or rollover relief from RLWT for inherited property and for transfers of relationship property, as provided under the bright-line test.

Offshore RLWT persons

The vendor must be an "offshore RLWT person" for RLWT to apply. "Offshore RLWT person" is defined in [s YA 1](#) and covers both individuals and non-individuals, such as companies or trusts. An individual is an "offshore RLWT person" if they are:

- # a New Zealand citizen who is outside New Zealand and has not been in New Zealand within the last 3 years
- # the holder of a New Zealand residence class visa granted under the Immigration Act 2009 and is outside New Zealand and has not been in New Zealand within the last 12 months, or
- # not a New Zealand citizen and does not hold a New Zealand residence class visa granted under the Immigration Act.

Example:

Mary is an investor in residential property. She sells a piece of residential land located in Auckland to Jim. Mary is in New Zealand at the time of the sale, but she is not a New Zealand citizen and does not hold a residence class visa granted under the Immigration Act. Mary is an "offshore RLWT person".

The definition of an individual "offshore RLWT person" is the same as that for an individual "offshore person" under the TAA ([¶7-018](#)). However, in the case of non-individuals, the definitions are different.

A person (other than a statutory trustee company) is considered to be an "offshore RLWT person" if any of the following conditions are met:

- # the person is incorporated outside New Zealand
- # the person is not a natural person and is registered outside New Zealand
- # the person is constituted under foreign law
- # the person is a company or a limited partnership and more than 25% of the company's directors or of the limited partnership's general partners are offshore RLWT persons
- # the person is a company and more than 25% of the company's shareholder decision-making rights are held directly or indirectly by offshore RLWT persons, or
- # the person is a limited partnership or a look-through company (LTC), and more than 25% of the partnership's partnership shares or of the LTC's effective look-through interests are held directly or indirectly by offshore RLWT persons.

A trust is considered an "offshore RLWT person" if any of the following are met:

- # more than 25% of the trustees are offshore RLWT persons
- # more than 25% of the people that have the power to appoint or remove a trustee of the trust, or to amend the trust deed, are offshore RLWT persons
- # all natural person beneficiaries and all natural person discretionary beneficiaries of the trust are offshore RLWT persons
- # all beneficiaries and discretionary beneficiaries of the trust are offshore RLWT persons
- # a beneficiary, including a discretionary beneficiary, that is an offshore RLWT person has received a distribution from the trust in one of the last 4 years before the relevant disposal of residential land and,

if the beneficiary is a natural person, the total distributions to the beneficiary for the relevant year are more than \$5,000, or
 # the trust has disposed of residential land within 4 years before the relevant disposal of residential land and the trust has a beneficiary, including a discretionary beneficiary, that is an offshore RLWT person.

The definition of “offshore RLWT person” for a trust is intended to ensure that gains do not escape tax through manipulation of the trust. It is not intended that it would normally apply to properties held in ordinary family trusts where some of the natural person beneficiaries may be New Zealand citizens but now reside overseas.

Example:

Debbie and Greg are the settlors and trustees of a family trust. They are both New Zealand citizens and live in New Zealand. Dan and Natalie are discretionary beneficiaries of the trust and are also New Zealand citizens. Dan lives in New Zealand, but Natalie has lived in Australia for the past five years and has not been back to New Zealand.

The trust property consists of the family home in New Zealand as well as some shares and money held in a savings account. Each year, Dan and Natalie receive around \$1,000 each in distributions from the trust.

Debbie and Greg as trustees of the trust are not offshore RLWT persons, because they themselves are not offshore RLWT persons and, of the two beneficiaries, only Natalie is an offshore RLWT person, but she has not received more than \$5,000 in distributions from the trust in any of the previous four years.

A corporate trustee will be able to qualify for the non-offshore exemption if it meets both the company and trust criteria above.

If a statutory trustee company is an offshore RLWT person, a trustee for which it acts will not be an offshore RLWT person if it would not otherwise be one.

Person required to pay RLWT

Under s [RL 2](#), the vendor is liable to pay an amount of RLWT, but the vendor’s conveyancer is treated as the vendor’s agent in relation to the RLWT and must provide returns and satisfy the vendor’s liability. That is, the vendor’s conveyancer is the “paying agent” in relation to RLWT. If the vendor does not have a conveyancer, the purchaser’s conveyancer will be the paying agent. If neither the vendor nor purchaser has a conveyancer, the purchaser will be the paying agent.

Conveyancer

Under the definition in s [YA 1](#), “conveyancer” means a lawyer, incorporated law firm, conveyancing practitioner, or incorporated conveyancing firm that provides conveyancing services, as that term is used in the Lawyers and Conveyancers Act 2006, to the vendor or purchaser using a New Zealand-based trust account.

Associated persons

Under s [RL 3](#), if the vendor and purchaser are associated persons, the vendor is not liable to pay RLWT. In this case, the purchaser (as the withholding agent) has a withholding tax obligation under s [BE 1](#) and the standard requirements for other withholding taxes applies.

The date the associated persons test is applied is the date on which a residential land purchase amount is paid. This is because the RLWT rules apply to a residential land purchase amount paid in relation to a disposal, rather than the disposal itself.

Not the vendor’s agent for other purposes

While the paying agent is considered to be the vendor’s agent for the purposes of RLWT, the paying agent is not considered the vendor’s agent more generally solely because of their agency for RLWT.

Liability for underlying RLWT

A paying agent is not jointly and severally liable in relation to the vendor's RLWT debt, despite their obligation to satisfy the vendor's RLWT liability. They may, however, be liable for the RLWT debt, if they have retained the RLWT amount from a residential land payment amount and have failed to pay the retained RLWT to the Commissioner.

If the vendor and purchaser are associated persons, the purchaser is the withholding agent and is therefore liable for the underlying RLWT, in a similar way to standard withholding taxes.

Amount of RLWT

There are 3 calculation methods for RLWT, with the amount of RLWT payable being the lesser of the amounts calculated under these methods. Note, however, that the third method is not available where the paying agent is the purchaser's conveyancer or the purchaser themselves. All amounts are GST exclusive to ensure it is clear that RLWT is calculated net of GST.

First method — s RL 4(2)

The first of the 3 calculation methods is as follows:

$$\text{RLWT rate} \times (\text{current purchase price} \# \text{vendor's acquisition cost})$$

where:

RLWT rate is the top individual marginal tax rate (39% (33% before 1 April 2021)) or, if the vendor is a company that is not acting as a trustee, the company tax rate (28%)

current purchase price is the purchase price agreed by the vendor and purchaser

vendor's acquisition cost is the purchase price paid by the vendor on acquisition.

It is expected that the vendor's acquisition cost will generally be available from Quotable Value.

Second method — s RL 4(4)

The second calculation method is as follows:

$$0.10 \times \text{current purchase price}$$

In most cases, the RLWT payable will be the lesser of the amounts calculated under these first 2 methods.

Example:

Virginia is an offshore RLWT person who agrees to sell her residential property in Tauranga to Thomas. Thomas pays a \$100,000 deposit and another \$400,000 upon settlement. In determining Virginia's RLWT liability, the "current purchase price" is \$500,000. Virginia originally acquired the residential property for \$350,000. The "vendor's acquisition cost" for the purposes of determining Virginia's RLWT liability is \$350,000.

Virginia does not have a mortgage on the property, and she has no outstanding rates.

RLWT calculated using the formula in s [RL 4\(2\)](#) is $39\% \times (\$500,000 \# \$350,000)$, or \$58,500. RLWT calculated using the formula in s [RL 4\(4\)](#) is $10\% \times \$500,000$, or \$50,000. Therefore, the amount of RLWT payable is \$50,000.

Third method — s RL 4(6)

RLWT is generally paid before other disbursements. However, a vendor may have a mortgage secured over the residential land being disposed of and the mortgagee may require the vendor's mortgage obligation to be discharged before the title to the residential land can be released. In most cases, this should not be a problem, but in some situations the amount of RLWT payable calculated using the 2 methods outlined above may result in insufficient funds to discharge the vendor's mortgage.

The third calculation method under s [RL 4\(6\)](#) is only available when the vendor or vendor's conveyancer is the person who must pay the RLWT. The amount is the greater of zero and the amount calculated as follows:

current purchase price # security discharge amount # outstanding rates

where:

current purchase price is the purchase price agreed by the vendor and purchaser for the disposal of the residential land, including deposits and part payments that the residential land purchase amount relates to

security discharge amount is the total of the amounts required by licensed security holders to discharge their mortgages or other securities over the residential land, or zero

outstanding rates is the amount of local authority rates outstanding.

For these purposes:

licensed security holder means a New Zealand registered bank or a licensed non-bank deposit taker (as defined in s 4 of the Non-bank Deposit Takers Act 2013) holding a mortgage or other security over the residential land.

Example:

Consider the previous example of Virginia and Thomas. Recall that the RLWT payable using the methods set out in s [RL 4\(2\)](#) and [\(4\)](#) will be \$58,500 and \$50,000.

However, now Virginia has a mortgage with a New Zealand bank for \$460,000. In addition, Virginia has outstanding rates of \$360 owing to her local council. Since Virginia's conveyancer is the paying agent the third calculation method set out in s [RL 4\(6\)](#) is relevant for both the mortgage and the local authority rates.

Using the third calculation method in s [RL 4\(6\)](#), the amount of RLWT calculated is \$500,000 # \$460,000 # \$360, or \$39,640. As this is less than \$58,500 and \$50,000, \$39,640 is the amount of RLWT payable.

Note that the second of the 3 methods discussed above is effectively the default method for calculating the amount of RLWT in situations where information about the vendor's acquisition cost or New Zealand mortgage is unavailable.

When the obligation arises

The obligation to retain/withhold and pay RLWT is intended to arise upon settlement when, in most cases, the bulk of the purchase price is paid by the purchaser to the vendor via a conveyancer. At this point the RLWT paying or withholding agent should retain or withhold RLWT from the funds being paid.

Due dates for RLWT to be paid to the Commissioner

Once the obligation for RLWT has arisen and the appropriate amount of RLWT has been withheld or retained from a residential land purchase amount, the standard due dates for interim and other tax payments made on a monthly basis apply. The due date is the 20th day of the following month.

Tax credit for RLWT paid

A person has a tax credit for the amount of RLWT paid in relation to residential land they have disposed of in the tax year in which the disposal occurs. This deals with the situation that could occur where, under the bright-line test, the income tax liability for the disposal occurs in one tax year but, under the RLWT rules, the RLWT obligation does not arise until the following tax year.

To the extent that the amount of RLWT paid exceeds the person's income tax liability in relation to the disposal of the residential property, the RLWT credit can be used to satisfy the person's other income tax liabilities. If the person has no other income tax liabilities, the excess RLWT may be refunded.

Interim claim process and certificate of exemption

Under s [RL 6](#), the Commissioner may repay an amount of RLWT if and to the extent that:

- # the RLWT credit is likely to be a surplus credit for the year, treating the person as only having income and deductions for land and the relevant tax rate in s [RL 4\(3\)](#) (either 39% (33% before 1 April 2021) or the company rate of 28%)
- # the person has no outstanding tax obligations, and
- # the person provides the information and accompanying documents specified in s [54D](#) of the TAA.

See form [IR1102](#) (July 2024).

Under s [54E](#) of the TAA, a certificate of exemption is available to persons who are in the business of developing land, dividing land into lots, or erecting buildings and who either have a good tax compliance history for the previous 2 years or provide adequate security. For newly formed entities that would have difficulty meeting the 2-year good compliance history requirement, another taxpayer associated with the newly formed entity is able to meet the 2-year good compliance history requirement on their behalf. This only applies to companies in the same group or partners in a limited partnership. A person who meets the requirements for the main home exclusion under s [CB 16A](#) may also apply for a certificate of exemption. Any application for a certificate of exemption must be in the prescribed form and provide the required information: see form [IR1103](#) (March 2025).

The interim claim process is still available for taxpayers who do not meet the requirements for, or have not been issued with, an RLWT exemption certificate.

Information to be provided by vendors to paying and withholding agents

Section [54C](#) of the TAA sets out the information that vendors must provide to their paying or withholding agent, or the purchaser, so that the agent is able to fulfil any RLWT obligations.

The information requirements in s [54C](#) of the TAA only apply if the vendor disposes of the residential land within the 2-year bright-line period (effective from 1 July 2024). The calculation of the 2-year period for the purposes of RLWT is the same as the bright-line test. The bright-line date is discussed at [17-049](#) and [17-050](#).

In most cases, the start date of the bright-line period will be the date on which the instrument to transfer the land to the person was registered under the Land Transfer Act 2017 (prior to 12 November 2018, the Land Transfer Act 1952). Where the transfer is not registered before the bright-line date, the start date will be the latest date on which the vendor acquired the estate or interest in the residential land. The section only applies where the start date is on or after 1 October 2015.

The end date is, in most cases, the date on which the person enters into an agreement for the disposal of the residential land.

Where the disposal is within the 2-year bright-line period, the vendor is required to give their conveyancer or the purchaser's conveyancer or the purchaser (if the vendor does not have a conveyancer or the vendor is associated with the purchaser) the relevant information in the form prescribed by the Commissioner before the relevant residential land purchase amount is paid. See form [IR1101](#) (July 2024). Section [54C\(5\)](#) requires vendors to provide, at the very least, their full name, address, IRD number, and whether they are offshore RLWT persons. If they are offshore RLWT persons, the vendor must also state whether they are associated with the purchaser and whether the residential land purchase amount would be income under the bright-line test, ignoring the application of the other land taxing provisions in ss [CB 6–CB 12](#) and the main home exclusion.

Section [54C\(4\)](#) provides that a vendor's statement needs to be accompanied by relevant and appropriate documents. The Commissioner will prescribe what documents will be acceptable in supporting the person's

statement. If the vendor is not an offshore RLWT person, the following people must verify, as prescribed by the Commissioner, the information and any relevant and appropriate documents:

- # for a vendor company or an LTC, a director who is not an offshore RLWT person
- # for a vendor limited partnership, a general partner of the partnership who is not an offshore RLWT person
- # for a vendor trust, a trustee of the trust who is not an offshore RLWT person.

The information must be retained by the person who receives it for 7 years, unless they receive it as a purchaser. If they receive it as a purchaser, they must give a copy of it to the Commissioner within one month of receiving it, but they do not need to retain the information afterwards.

Information to be provided by paying and withholding agents to the Commissioner

Section [54B](#) of the TAA requires paying and withholding agents to provide a statement, in the prescribed form, detailing their RLWT withholding obligations at the time the RLWT must be paid to the Commissioner. The statement must also be provided if the RLWT calculation means there is no RLWT to be paid (for example, where the vendor has made a loss on sale or the mortgage exceeds the sale price). See form [IR 1100](#) (August 2022).

The Commissioner may also allow further time for paying and withholding agents to furnish their RLWT statements. However, this may affect a vendor's ability to apply for a refund if they want to file an interim income tax return shortly after the disposal, as refunds will not be issued until the payment of RLWT to the Commissioner is reconciled with the vendor's account.

Penalties

Under s [RL 2\(6\)](#) the rules relating to penalties as set out in the TAA apply to paying agents as though they have failed to pay an amount of withholding tax equal to the amount of RLWT liabilities they failed to satisfy. This means that the general penalties rules that apply to withholding taxes (such as late filing penalties) apply to RLWT, irrespective of whether the person required to satisfy the RLWT liability is a paying agent or a withholding agent.

A paying agent is not liable for a penalty for failing to pay an amount of RLWT if it was reasonable for the paying agent to rely on the information provided by the vendor under s [54C](#) to consider that RLWT was not payable.

Late payment penalties

Late payment penalties only apply when the paying agent has subtracted or retained the amount of RLWT from the residential land purchase amount but has failed to pay the RLWT to the Commissioner. When the paying agent has not retained the RLWT, late payment penalties do not apply. This is because in most cases, the paying agent is not liable for the underlying amount of RLWT and once they have released the funds to the vendor, they are not able to pay the RLWT out of the residential land purchase amount.

Reporting to professional body

The Commissioner is able to provide details of RLWT paying agents to their relevant professional body when they have failed to fulfil their RLWT obligations. This allows professional bodies to take appropriate action against members who do not comply with their legal obligations under the RLWT. It is intended that IR will report a person only when there are repeated or deliberate failures.

Law: IT07 subpt [RL](#), ss [LA 6](#), [LB 6B](#), [RA 6C](#), [RA 15](#), [YA 1](#) ("bright-line date", "[conveyancer](#)", "[offshore RLWT person](#)", "[residential land](#)", "[residential land purchase amount](#)"); TAA ss [18D\(1\)](#), [54B–54E](#), Sch [7](#), pt [A](#), cl [12](#)

Last reviewed on 31 December 2025